

Pharmacy and drug shops

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- Pharmacy and drug shops

A pharmacy is a dedicated store where all the prescribed and compounded medications are sold. A pharmacy only dispenses drugs upon prescription and must be done by a licensed pharmacist.

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Drug shops are small 'walk-in' health care shops that sell over-the-counter drugs. They are lower-tier retail outlets that are only supposed to dispense *Class C* category of drugs.

Please note: a drug shop must be located not less than 1.5km from a pharmacy

All businesses in the health sector in Uganda are required to be registered with

- Uganda Registration Services Bureau (URSB) for business name
- Uganda Revenue Authority (URA) for taxes

Please note

Upon registration, players in the health sector are required to comply with the requirements of relevant authorities like:

- National Drug Authority (NDA)
 - Uganda Nurses and Midwives Council (UNC) for license
 - Uganda Medical and Dental Practitioners Council (UMDPC) for license
 - Trading license
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For individual

- National ID or any other two of the following valid identification documents; Passport, Driving permit, Voter's card, Village ID, Employment ID, Refugee ID, recent Bank statement, Work permit, financial card, Visa, NSSF card etc.
- Certificate of registration (incase you are in business)
- Statement of particulars and partnership deeds (incase of a partnership)

For non-individual

- Company Form 20
- Certificate of incorporation

[Click here](#) for details on requirements for registration

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- You're required to visit the URA portal on ura.go.ug
 - [Click here](#) to register as an individual
 - [Click here](#) to register as a non-individual

[Click here](#) for your rights as a taxpayer

[Click here](#) for your obligations as a taxpayer

This is a tax paid by a business that makes total sales in excess of Ugx 10,000,000 and not exceeding 150,000,000 in a given year. This business should at least make sales of Ugx 830,000 in a month.

Below are the rates that apply.

TOTAL SALES IN A YEAR	TAX PAYABLE	
	With Records	Without Records
Total sales does not exceed Ugx 10 million	Nil	Nil
Total sales more than Ugx 10 million but less than Ugx 30 million	0.4% of annual total sales in excess of 10 million	Ugx 80,000

Total sales more than Ugx 30 million but does not more than Ugx 50 million	Ugx 80,000 plus 0.5% of the total sales in excess of Ugx 30 million	Ugx 200,000
Total sales more than Ugx 50 million but not more than Ugx 80 million	Ugx 180,000 plus 0.6% of the annual total sales in excess of 50 million	Ugx 400,000
Total sales more than Ugx 80 million but not more than Ugx 150 million	Ugx 360,000 plus 0.7% of the annual total sales in excess of 80 million	Ugx 900,000

Please note

1. The tax paid by the presumptive taxpayer shall be a final tax on the business income of a taxpayer
2. No deductions shall be allowed for expenditures or losses incurred in the production of business income and;
3. No tax credits are allowed to reduce the tax payable on the business income.
4. If you file under the presumptive regime and your income exceeds Ugx 10,000,000, the system will generate a payment registration slip and this will double as a return filed.

Income tax

corporation tax

This is tax imposed on all companies in Uganda inclusive of pharmacies at a standard rate of 30%.

Pay As You Earn (PAYE)

Any person managing a pharmacy business and has employees earning a monthly salary more than 235,000 is required to register for Pay as You Earn (PAYE), withhold and remit tax to URA.

[Click here](#) for PAYE rates

Withholding tax (WHT)

This tax is deducted by a designated WHT agent from any supply received by a pharmacy whose transaction value exceeds One Million Shillings (Ugx 1,000,000), provided these items are not exempted from Income tax

[Click here](#) for more information on withholding tax

[Click here](#) for information on how to file your return.

After filing a return, you're required to pay taxes due using available payment platforms e.g. banks, mobile money, EFT, RTGS, VISA, Mastercard, USSD code (*285#) etc.

[Click here](#) to register a payment

For more information, visit the nearest URA office for assistance or call the toll-free line **0800117000/0800217000** or WhatsApp: **077214000**



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